

Income Statement (P&L;)

Measures profitability over a period of time

THE FLOW

Revenue – COGS = Gross Profit → – Operating Expenses = Operating Income → – Taxes & Other = Net Income

REVENUE & EXPENSES

Revenue

Sales of goods, services, or royalties.

Key question: Is it recurring?

Recurring (SaaS, subscriptions) = predictable, higher-value.

Non-recurring (retail, airlines) = starts from zero each year — more risk.

Expenses

COGS — Direct cost to produce goods/services.

OpEx — S&M, G&A, R&D.

D&A — Non-cash cost spreading asset value over time. Real economic cost, but no cash out the door.

THE THREE MARGINS

Margin	Formula	Benchmark	What It Tells You
Gross Margin	Gross Profit / Revenue	≥40% ideal	Pricing power; room to absorb costs. Compare within industry.
Operating Margin	Operating Income / Revenue	Higher = better	Best measure of core profitability. Strips out taxes & non-recurring items.
Net Margin	Net Income / Revenue	Context-dependent	Final profit kept. Can be distorted by one-time items — prefer operating margin.

■ Focus on **operating margin** for long-term quality. Net margin is skewed by legal settlements, interest income, and other non-recurring items.

EPS & GAAP vs. NON-GAAP

Earnings Per Share (EPS)

Formula: Net Income / Shares Outstanding

\$20M income ÷ 5M shares = \$4.00 EPS

Share issuance → EPS grows slower than net income (dilution).

Buybacks → Fewer shares, EPS grows faster. Signal of confidence.

EPS is the #1 driver of stock prices — investors pay for future earnings power.

GAAP vs. Non-GAAP

GAAP — Standardized rules (SEC required). Includes all costs.

Non-GAAP — Management strips out stock comp, amortization, restructuring charges, M&A costs.

Non-GAAP can be useful (removes noise) or abusive (hides real costs).

Watch out: If the same 'one-time' item is excluded every year, it's not one-time.

Balance Sheet

Snapshot of financial health at a point in time

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

ASSETS — WHAT THE COMPANY OWNS

Current Assets (convertible to cash <1 yr)

Cash & equivalents — Checking accounts, T-bills.

Accounts receivable — Money owed by customers for credit sales. Liquid but not cash yet.

Inventory — Goods/raw materials for sale.

$$\text{Avg Collection Period} = (\text{Receivables} / \text{Revenue}) \times 360$$

Shorter = collecting cash faster (good).

$$\text{Avg Inventory Period} = (\text{Inventory} / \text{COGS}) \times 360$$

Longer = slower inventory turnover (watch for bloat).

Non-Current Assets (long-term)

PP&E — Buildings, machinery, land. Depreciated over time. High CapEx = growth investment or heavy maintenance.

Intangibles — Patents, trademarks, brand. Goodwill arises from acquisitions (premium paid over fair value).

Long-term investments — Stocks, bonds held for income/flexibility.

Watch: Are intangibles overstated? Is goodwill impairment likely?

LIABILITIES — WHAT THE COMPANY OWES

Current Liabilities (<1 yr)

Accounts payable — Owed to suppliers. Longer terms = better cash management.

Short-term debt — Loans due within a year.

Accrued expenses — Wages, taxes, utilities incurred but not yet paid.

Long-Term Liabilities (>1 yr)

Long-term debt — Bonds/loans for CapEx, acquisitions, expansion.

Pension obligations — Future retirement payments to employees.

Deferred tax liabilities — Taxes accrued but deferred to future periods.

EQUITY — WHAT'S LEFT FOR SHAREHOLDERS

Common Stock & APIC	Capital raised from issuing shares to investors.
Retained Earnings	Cumulative profits reinvested in the business (not paid as dividends). Growing = healthy.
Treasury Stock	Shares bought back by the company. Reduces shares outstanding. Buybacks can signal confidence.

Negative equity can be a red flag — or intentional (e.g. heavy buybacks like McDonald's). Always investigate why.

KEY RATIOS

Ratio	Formula	Healthy Signal	What It Measures
Current Ratio	Current Assets / Current Liabilities	>1	Liquidity — can it cover short-term debts?
Quick Ratio	(Current Assets – Inventory) / Current Liab.	>1	Stricter liquidity — excludes inventory.
Debt-to-Equity	Total Debt / Shareholder Equity	Context-based	Leverage — how much debt vs. equity?
Interest Coverage	EBIT / Interest Expense	>3x	Can it pay interest on its debt?
Asset Turnover	Revenue / Total Assets	Higher = better	How efficiently assets generate revenue.

RED FLAGS

- Excessive debt relative to cash flow
- Declining cash reserves
- High or growing accounts receivable (may signal collection problems)
- Negative equity (investigate the cause)
- Overstated intangible assets / goodwill

Cash Flow Statement (CFS)

Shows where cash actually comes from and goes — the truth behind the P&L;

Operating Activities + Investing Activities + Financing Activities = Net Change in Cash

1. CASH FROM OPERATIONS (OCF) — Is the core business generating real cash?

Net Income	Starting point — but filled with accounting estimates.
+ D&A	Add back — non-cash expense. No cash actually left.
Working Capital	Changes in receivables, inventory, payables affect cash. ↑ Inventory or ↑ Receivables = cash tied up (negative). ↑ Payables = cash preserved (positive).

OCF vs. EBITDA

EBITDA = accrual-based accounting profit. Useful for comparisons.

OCF = actual cash from operations. The real number.

A company can post \$50M EBITDA but only \$15M OCF if receivables balloon — it hasn't collected the cash yet.

Indirect vs. Direct Method

Indirect (most common): Starts with net income, adjusts for non-cash items and working capital changes.

Direct: Lists actual cash in/out (e.g. cash from customers, cash to suppliers). Rare but transparent.

Both arrive at the same OCF figure.

2. CASH FROM INVESTING — Growth or cash burn?

CapEx	Spending on buildings, equipment, technology. Usually negative — cash out.
Acquisitions	Cash used to buy other businesses.
Asset Sales	Cash inflows from selling subsidiaries or investments.

Negative investing cash flow ≠ bad. It can mean the company is investing for growth. Ask: **are these investments paying off?**

3. CASH FROM FINANCING — Who's getting paid?

Debt Issuance / Repayment	Borrowing or paying back loans.
Share Issuance / Buybacks	Raising capital vs. returning cash to shareholders.
Dividends	Cash distributed to shareholders.

FREE CASH FLOW (FCF) — The most important number

FCF = Operating Cash Flow – CapEx

What it is	Cash left after reinvesting in the business. Available to pay debt, buy back shares, pay dividends, or hold.
Why it matters	Harder to manipulate than earnings. As Buffett says — 'You only find out who's swimming naked when the tide goes out.'
FCF Yield	FCF / Market Cap — how much cash return you get per dollar invested. Key valuation tool.

KEY RATIOS

Ratio	Formula	What It Measures	Watch For
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OCF Margin	OCF / Revenue	Cash efficiency of sales	Declining = eroding cash quality
FCF Yield	FCF / Market Cap	Cash return to investors	Low = potentially overvalued
Cash Interest Cover	OCF / Interest Expense	Ability to pay interest w/ cash	<2x = stress signal
Cash Conversion	OCF / Net Income	How much profit becomes cash	<0.8x = earnings quality concern

RED FLAGS

- OCF consistently below net income (poor earnings quality)
- Negative FCF over multiple years without high-growth justification
- Rising debt + weak operating cash flow
- Large, unexplained swings in working capital
- Company highlights EBITDA but buries operating cash flow